

The 20% Revenue Hotels Are Quietly Giving Away to OTAs

Five practical steps to rebalance channel mix before the window closes

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For many hotel operators, OTA commissions are treated as a fixed cost of doing business.

They should not be.

Across Southeast Asia, OTA channels routinely capture between 18 and 30 per cent of room revenue in commission costs. For a mid-scale hotel running 180 rooms at 75 per cent occupancy, that can translate into millions of dollars annually — often exceeding combined budgets for technology, training, and marketing.

This is not a marketing expense. It is a structural dependency. And until recently, there was no realistic alternative for independent and small-chain operators. The technology stack required to compete with global OTAs on booking conversion was simply too expensive.

That has changed. Most operators have not yet noticed.

Three Shifts in the Last 24 Months

Multilingual AI interfaces have made guest communication near-free. A boutique hotel can now deploy a booking-capable chatbot in Thai, Vietnamese, Mandarin, Arabic, English, Japanese and Korean at costs that were unimaginable three years ago. The language barrier — once the OTA's greatest structural advantage — is dissolving.

Behavioural trigger systems are now accessible without technical teams. A guest who lingers on the suite page for ninety seconds can be offered a personalised rate in their own language before they bounce to compare on a platform. This was a Marriott-scale capability in 2018. It is a US\$50/month SaaS capability in 2026.

AI-mediated travel discovery is reshaping the booking funnel. A growing share of travel research now happens inside ChatGPT, Gemini, Perplexity and regional AI assistants. These systems surface the source they trust — and they have no structural preference for OTAs. Hotels with well-structured direct content are increasingly being recommended ahead of platforms.

Three Mistakes Hotels Keep Making

Treating the website as a brochure. Beautiful sites that redirect to outdated booking engines, lack real-time availability, offer no price guarantee, and fail to capture visitor email addresses are not websites. They are missed opportunities in HTML form.

Not differentiating between OTA and direct pricing. Rate parity enforcement has substantially eroded across most jurisdictions. Hotels can offer a 5–10 per cent direct-booking advantage. Yet many still display identical rates, giving guests no reason to book direct.

Under-investing in first-party data. Every OTA guest is a data point owned by the platform. Email addresses are masked. Remarketing is impossible. The OTA owns the customer relationship, compounding the platform tax with every repeat stay.

Five Steps to Rebalance

1. Build a multilingual direct-booking surface with real-time inventory, one-click checkout, and at least five languages. The bar is no longer “as good as the OTA.” The bar is “no friction in the guest’s own language.”

2. Install behavioural engagement that detects high purchase intent — page depth, dwell time, scroll behaviour — and offers a contextual incentive at the moment of decision.

3. Create a visible direct-rate advantage — 5–8 per cent, framed as a Member Rate or Direct Booking Privilege. Do not hide it. Make it the visual focal point of the rate page.

4. Capture first-party data from every interaction. Every booking and every near-booking should produce a captured email and consented marketing record. This is the asset that makes re-engagement possible.

5. Optimise for AI-mediated discovery. Structure your hotel’s content, reviews, and metadata so ChatGPT, Gemini and similar systems surface you accurately. This is next-generation SEO. Most hotels are not even aware it exists.

The Window

Hotels that begin this transition in 2026 can plausibly shift OTA dependency from 65–70 per cent down to 35–40 per cent within eighteen months. The recovered margin — 15–20 per cent of room revenue — is enough to fund the next renovation, the next property, or the next decade of independence.

The technology is finally ready. The window is still open. But it is narrowing as OTA pricing power consolidates and AI-mediated distribution patterns harden.

The decision is not whether to start. It is whether to start now.

About the author

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